

The Ultimate Trader's Cheat Sheet

EMA, VWAP, Volume, RSI, and MACD — every key reference in one place.

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This cheat sheet covers the standard indicator settings, how to read each signal, and how to use them together. These are not magic — they are tools. Used correctly, they add context to price action. Used incorrectly, they create noise.

MOVING AVERAGES

Standard Settings and Signals

8 EMA: short-term momentum. 20 EMA: medium-term trend. 50 SMA: intermediate trend. 200 SMA: long-term trend. Price above all four = strongly bullish. Price below all four = strongly bearish.

VWAP

Volume Weighted Average Price

Resets every session. Price above VWAP = buyers in control. Price below = sellers in control. VWAP is a magnet — extended stocks tend to revert to it. Institutions use it as a benchmark.

RSI (14-PERIOD)

Relative Strength Index

Above 70: overbought — caution zone, not a sell signal alone. Below 30: oversold — watch for reversal signals. RSI divergence: price makes new high but RSI makes lower high = momentum fading.

MACD (12, 26, 9)

Moving Average Convergence Divergence

MACD line crosses above signal line = bullish momentum shift. Crosses below = bearish. Histogram growing = momentum accelerating. Histogram shrinking = momentum fading.

COMPLETE INDICATOR QUICK REFERENCE

INDICATOR	SETTING	BULLISH SIGNAL	BEARISH SIGNAL	COMMON MISTAKE
8 EMA	8-period exponential	Price bouncing off 8 EMA	Price rejected at 8 EMA	Using as a signal alone without trend context
20 EMA	20-period exponential	Pullback holds 20 EMA	Breakdown below 20 EMA	Buying every 20 EMA touch regardless of trend
50 SMA	50-period simple	Price reclaims 50 SMA	Price loses 50 SMA	Treating 50 SMA as support in a downtrend
200 SMA	200-period simple	Price above 200 SMA	Price below 200 SMA	Ignoring the 200 SMA as a major inflection level
VWAP	Daily, auto-reset	Price holds above VWAP	Price rejected at VWAP	Buying below VWAP in a downtrending stock
RSI	14-period	Oversold + reversal candle	Overbought + reversal candle	Selling just because RSI is above 70 in a strong trend
MACD	12, 26, 9	MACD crosses above signal	MACD crosses below signal	Using MACD crossovers as entries without price confirmation
Volume	Relative to 20-day avg	High volume breakout	High volume breakdown	Trusting breakouts on low volume

INDICATOR CONFLUENCE — WHEN MULTIPLE SIGNALS AGREE

SITUATION	WHAT IT MEANS	TRADE IMPLICATION
Price at 20 EMA + VWAP + RSI oversold	Three support levels aligning	High-probability long entry with tight stop
Price below VWAP + MACD bearish cross + RSI falling	Multiple bearish confirmations	High-probability short or avoid longs
Breakout + high RVOL + MACD bullish + RSI rising	Momentum confirmed on multiple timeframes	Strong momentum trade with trailing stop
Price at resistance + RSI overbought + volume dropping	Multiple signs of exhaustion	Take profits or tighten stop on existing longs

TST RULE

Price is the primary signal. Indicators are secondary context. Never take a trade against what price is clearly doing just because an indicator says otherwise. Indicators lag — price leads.

Standard interpretations. Context always matters — read indicators in relation to the current trend and key price levels. Full curriculum at topstocktrading.com